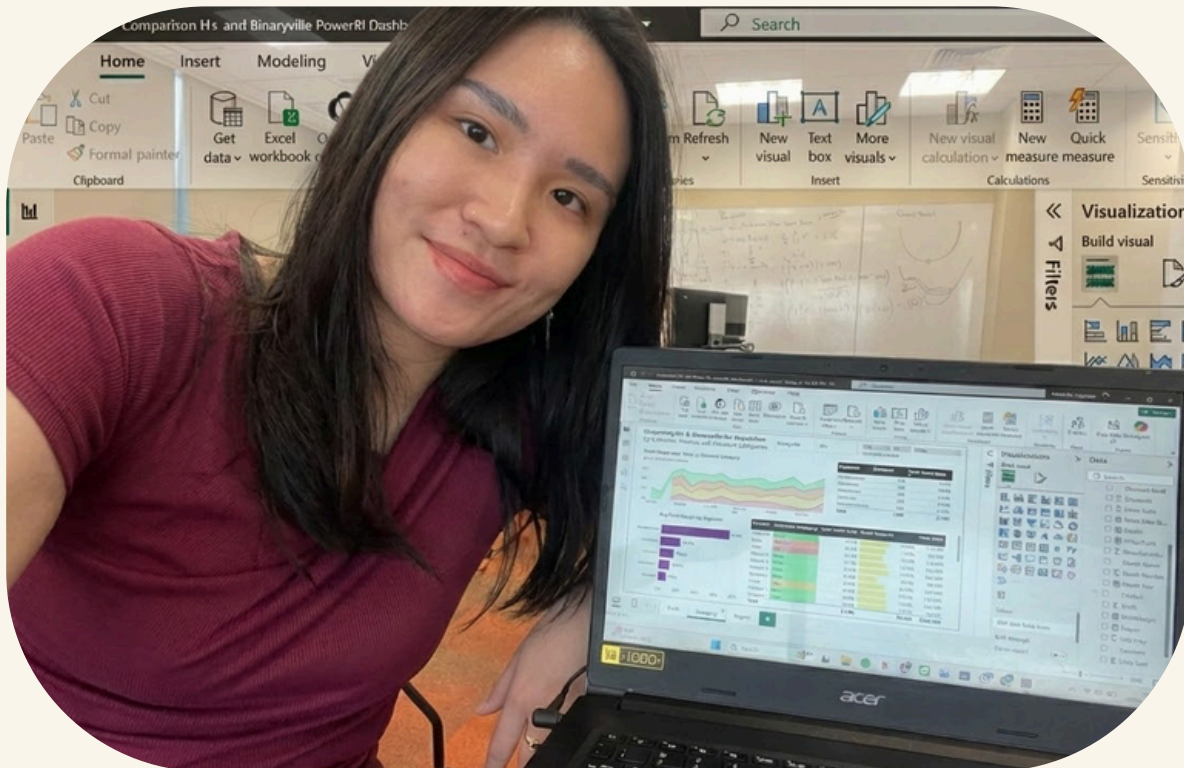




A Data-driven Acquisition Decision Consulting Project using Ms. Power BI

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Client's Problem

Landon Management, a private investment firm seeking to expand its portfolio in the North American market, is evaluating two acquisition targets: **H+ and Binaryville**, both selling diversified customer products in both regions through a variety of channels.

Based on **profitability and market exposure**, which company offers the **stronger long-term value potential** for strategic acquisition?



Landon Management
Strategic Visions. Future Growth.

Overall Profitability Analysis



Profit Performance Vs Target



Profit Margin Volatility Trend



Financial Composition



Operating and Sales History

Binaryville



H+





Profitability and Sales Trend

Binaryville

\$14.78M total profit over 24 months

Average: **\$0.62M/month**

Average Profit Margin: **14.27%**

COGS: 85.73%, No Discounts

H+

\$16.89M total profit over 18 months

Average: **\$0.94M/month**

Average Profit Margin: **13.21%**

COGS: 79.6% | Discounts: 7.2%

Despite operating for 6 fewer months, H+ delivers higher monthly profitability and generated \$118.7M in total sales compared to Binaryville's \$103.6M. Therefore, it seems to be both more cost-effective and better at driving sales. The preliminary assessment also shows that H+ uses discount as one of revenue drivers without harming profit margin.



Overall Profitability Trend

Profit Progress againts Target

H+generates an average of \$0.94M profit per month, significantly closer to the \$1M monthly target than Binaryville's average of \$0.62M monthly profit.

Profit Volatility

Binaryville shows steady margins around 15%. H+ demonstrates 13- 14% average with more pronounced volatility but stronger margins especially in October 2023 and December 2024.

Revenue Structure

H+operateswithlower COGS (79.6% vs 85.7%) compared to Binaryville and uses discounts strategically to drive revenue. In average, Profit accounts for 14.3% of revenue in Binaryville and 13.2% in H+, with the remaining 7.2% goes to Discount

Operating History

H+hasashortertrading history of 18 months, compared to Binaryville9s 24-month performance record. In that period, H+ generated \$118.7M in total sales while Binaryville accumulated \$103.6M, in total revenue.

Category-based Profitability Analysis

Areas like customer segments, discount categories, and product types of both companies are observed to evaluate how they impact overall profitability

Customer Segment

Government, Enterprise, Channel Partners, Midmarket, and Small Business

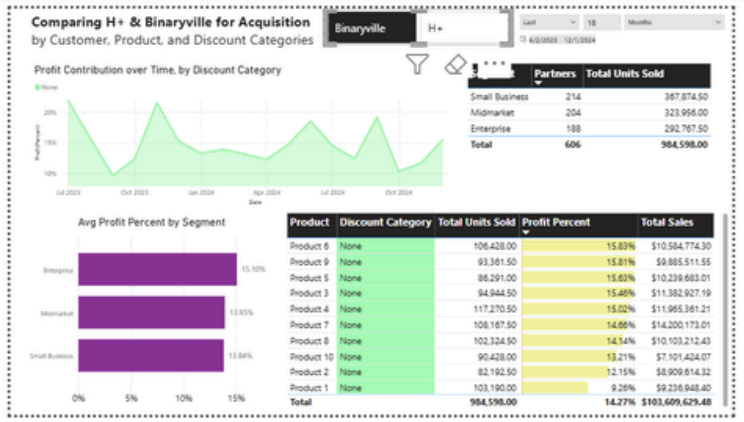
Discount Category

No Discount, Low Discount, Medium Discount, and High Discount

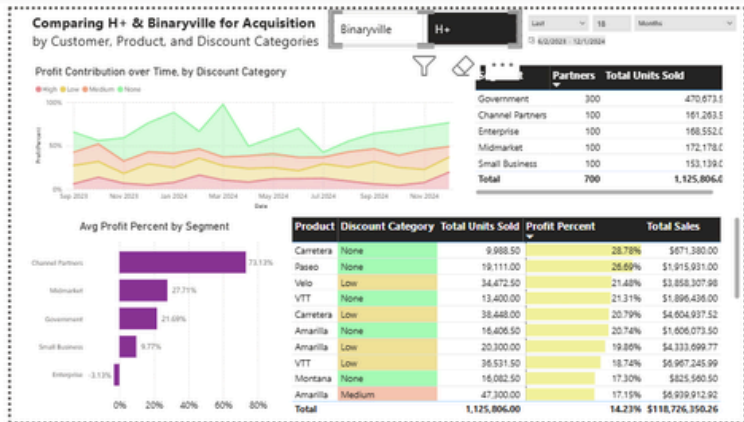
Product Type

Product 1 - 10 for Binaryville, and named items or H+ e.g. Paseo, Carretera, VTT, etc

Binaryville



H+



marketing segmentation

Customer Segment Profitability

H+ sold more products than **Binaryville** in shorter amount of trading time (~1,125,806 units sold in 18 months vs ~984,598 units sold in 24 months).

Both companies serve 700 total partners, yet their profiles differ significantly.

Binaryville maintains balanced distribution across Enterprise (15.1%), Midmarket (~13.9%), and Small Business (~13.8%), reflecting stable and evenly distributed segment performance.

H+ exhibits strong profit concentration with over 70% driven by Channel Partners, while Midmarket and Government each contribute above 20%. Enterprise is the only negative-performing segment at -3.13% margin.

⚠ While **Binaryville's** consistent market segment-level performance reflects stability, **H+** demonstrates stronger profit concentration with price leverage and growth potential in its primary Channel Partner segment, while still significantly tapping into other sectors



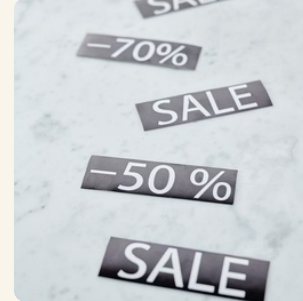
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Discount Strategy Profitability



Binaryville: Pricing Stability

Some products generate 15.6%-15.8% margins, and the lowest profit margin sits at 9.3%, resulting in 7 percentage point spread. This reflects pricing stability but more compressed margins and less pricing leverage.



H+: Pricing Capability

Top-performing SKUs achieve margins in the 26.3 - 29% range and are sold under low or no discount conditions. Conversely, the lowest-performing SKUs, with margins falling below 10%, are tied to high discount

 **Binaryville reflects pricing stability but weaker product positioning, while H+ demonstrates a more advantageous pricing capability, where discount management translates into significantly higher returns, both in profit margins and revenue**



Product Type Profitability

With portfolio of Products 1–10 for Binaryville , Product 6, Product 9, and Product 5 are the most profitable, each with profit margins of 15.6%–15.8%. Product 1 is the only SKU with a margin below 10% ($\approx 9.3\%$).

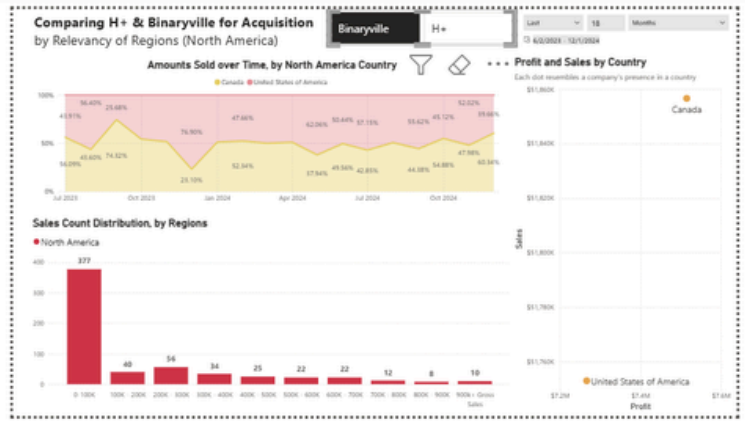
In contrast, H+ shows significantly wider profit margin. High-performing SKUs such as Carretera (28.8%) and Paseo (26.7%) are sold with no discount, while Velo (21.5%) operates under low discount conditions. However, the lowest-performing margins, falling below 10%, and as low as 3.2% , are consistently the same products as those in higher margins, just associated with heavier discount levels..

⚠ H+'s profitability is highly sensitive to price as the same products that achieve high profit margins can also cause significant profit reduction if heavily discounted. Conversely, Binaryville shows a more stable profit earning across portfolio, yet limited margin upside potential.

Region-based Profitability Analysis

Focusing on the North America region (U.S. and Canada) is strategically critical, as this is where the majority of Landon Management’s investors are based and where scaling ambitions are concentrated.

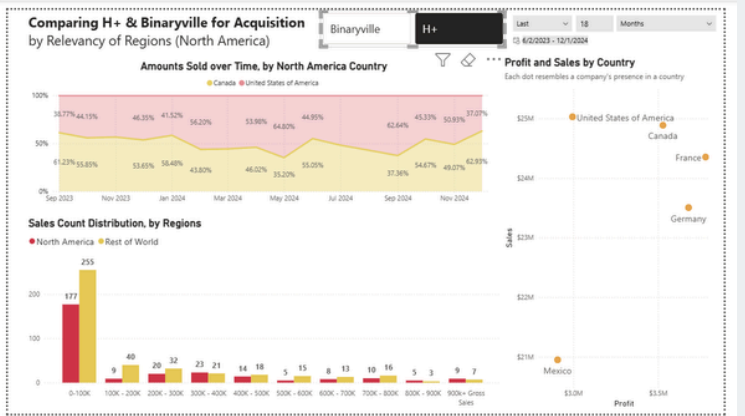
Binaryville



H+

Revenue Contribution in North America vs Rest of World

Distribution of Sales between US and Canada and across Order Buckets





Sales is Volume-Driven and Not AOV-concentration

Regional Profitability in North American Market

\$51M

Binaryville Sales per North American Country

Double H+'s scale concentration in North American markets

Revenue Distribution

Binaryville is US-dependent with 52%-77% monthly revenue contribution from US, and Canada some under 40%. H+ shows more consistent balance, with US contributing 55%-65% of sales and Canada 35%-45%.

Geographic Exposure

Compared to Binaryville that concentrates its operation in US and Canada, H+ also trades in Germany, France, and Mexico, indicating broader geographic exposure and long-term expansion potential

\$25M

H+ Sales per North American Country

Lower country-level scale but broader international exposure

Revenue is Volume-driven

Heavily driven by the 0-100K transaction bucket, Binaryville records 377 transactions for this smallest average order value (AOV) category, while H+ records 177 sales in North America and 255 sales outside of it, showing similar smaller AOVs.

Takeaways for Client Landon Management

Acquiring either companies have different advantages.....

Binaryville

Profit and profit margin stability and North American dominance in absolute revenue and profit

H+

Higher profit margin, diversified segments, and stronger long-term geographic expansion potential



Recommendation: Acquire H+

Despite higher profit volatility and smaller scale in North America, H+ offers **superior profitability per month, stronger pricing power, and clearer post-acquisition target markets and value creation levers**. With targeted restructuring in discount strategy and Enterprise sales, H+ provides greater **long-term value potential** compared to Binaryville.



Profitability Potential

H+ generates \$16.9M profit in just 18 months (\$0.94M/month), materially outperforming Binaryville's \$14.8M over 24 months (\$0.62M/month)



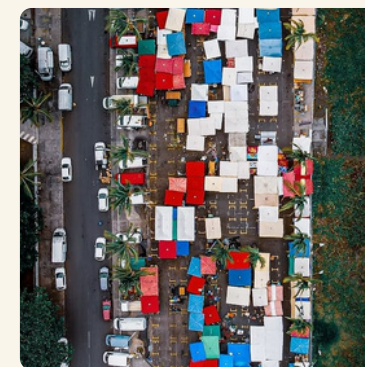
Product Economics

Top SKUs reaching 26-29% margins under low/no discount conditions, highlighting significant pricing leverage potential



Market Structure

70%+ profit driven by Channel Partners while significantly tapping Midmarket and Small Market segments



Regional Consideration

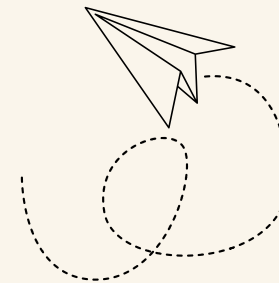
Balanced U.S.-Canada revenue mix with broader international exposure for long-term brand expansion



Recent Performance of H+

H+ exhibits stronger profit margins fluctuations throughout 2024, with higher profit peaks and periods of improved margin performance, often exceeding its overall average around the months of **June, September**, and especially **December**.

This pattern signals meaningful post-acquisition growth potential, as tighter pricing optimization and operation expansion in North America could sustainably elevate profitability and revenue.



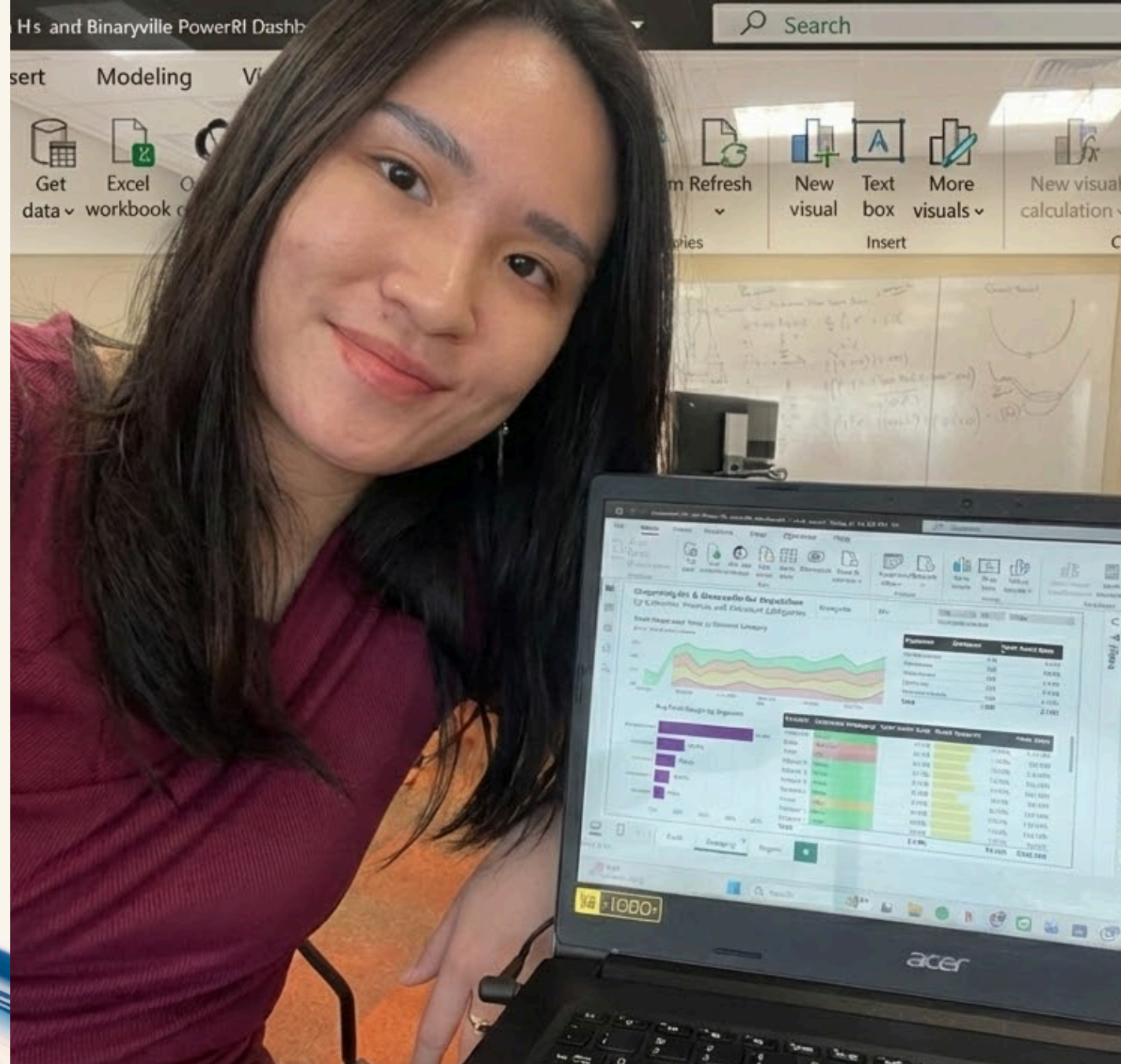
Thank You

*For your attention to my data-driven
consulting project using Power BI!*

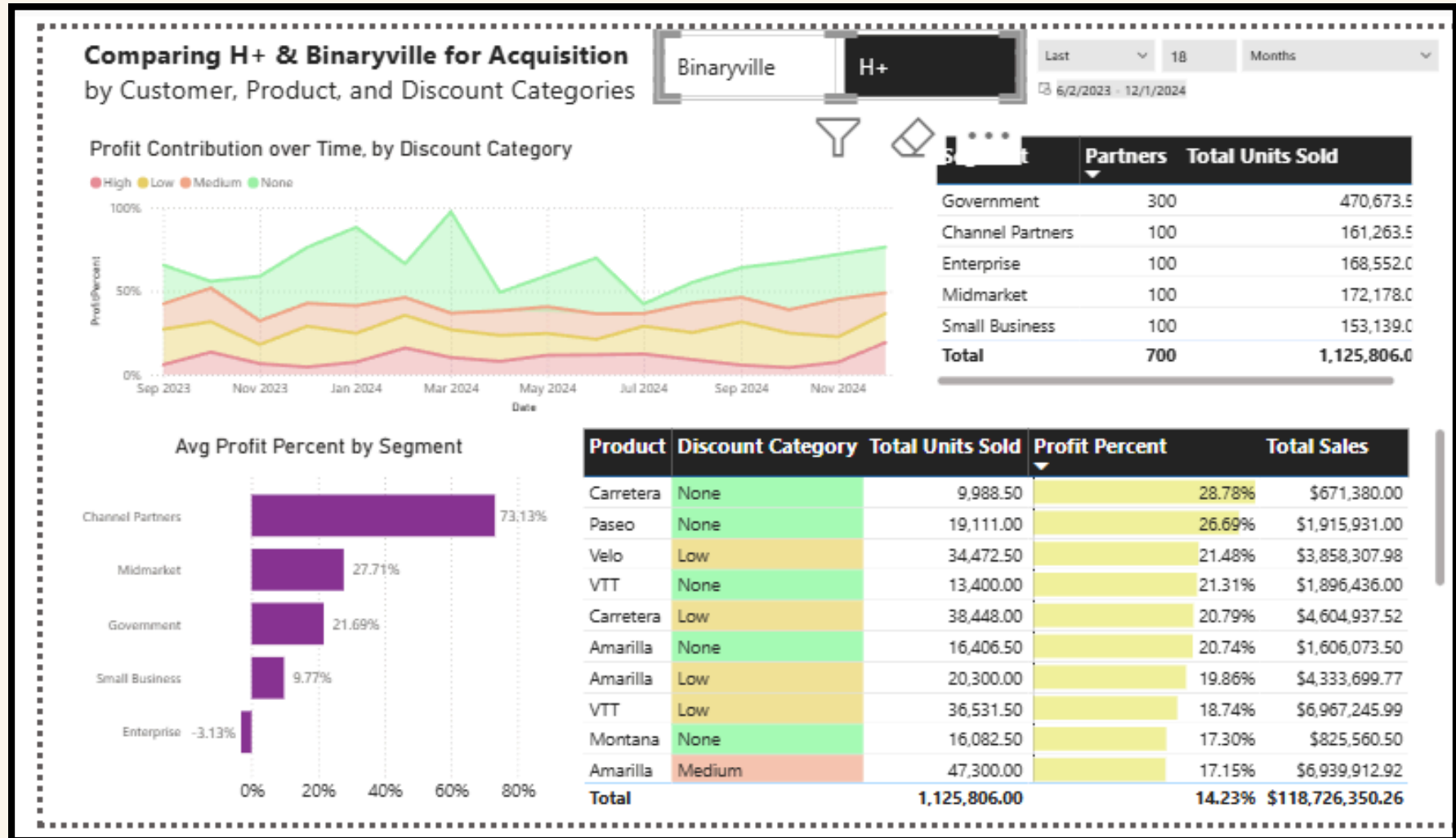
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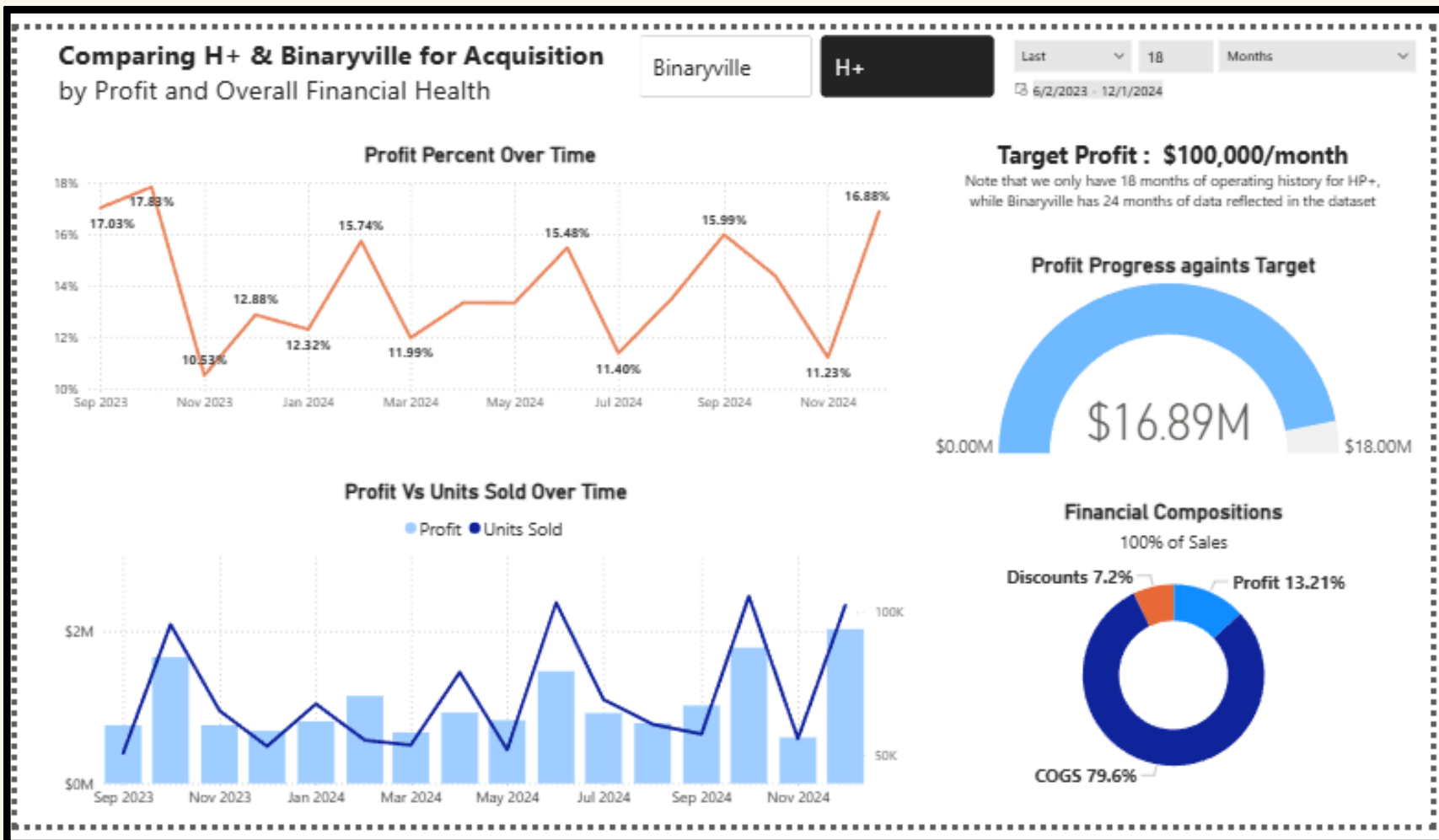
H+ Category-level Profitability



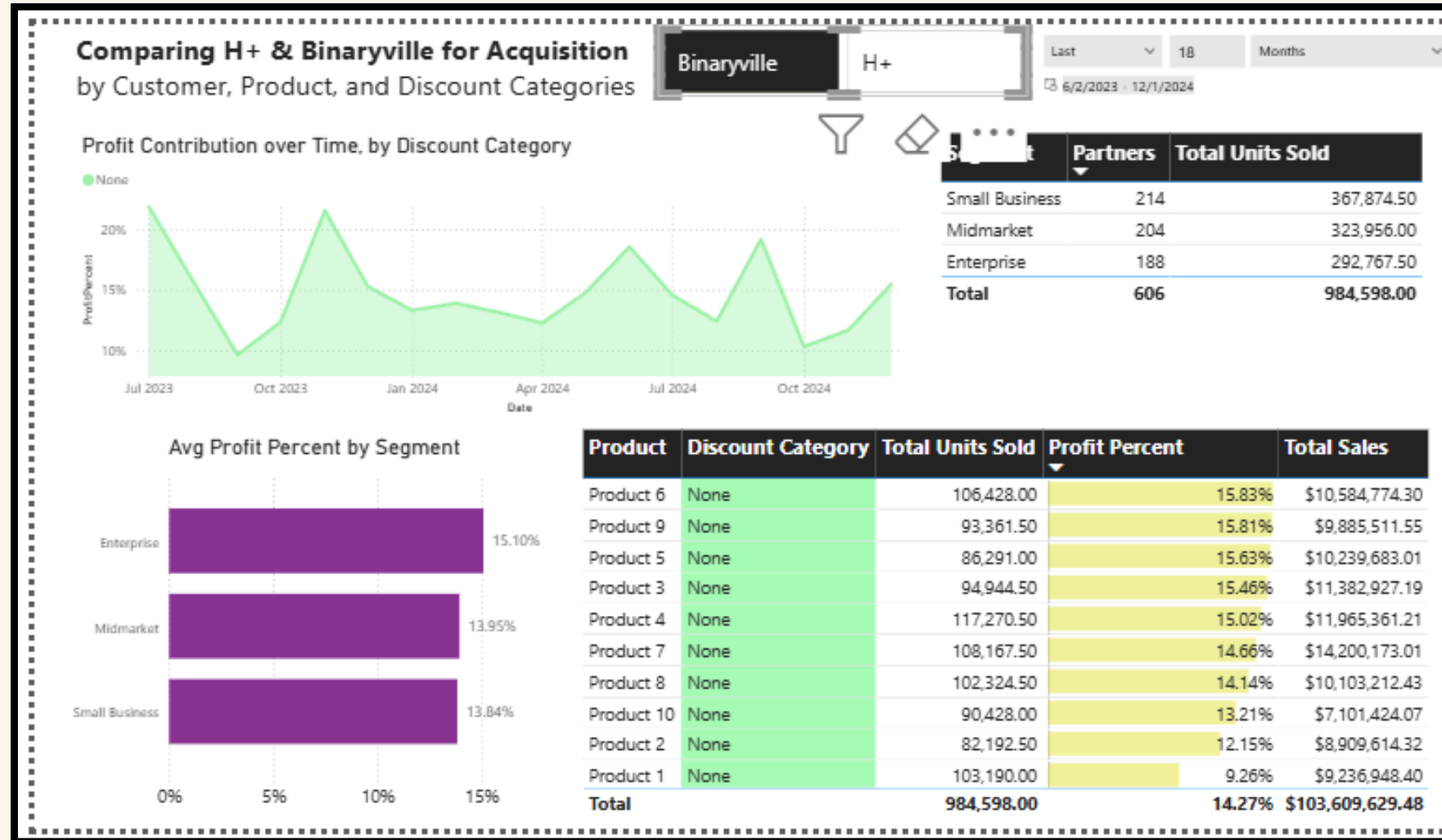
Binaryville Overall Profitability



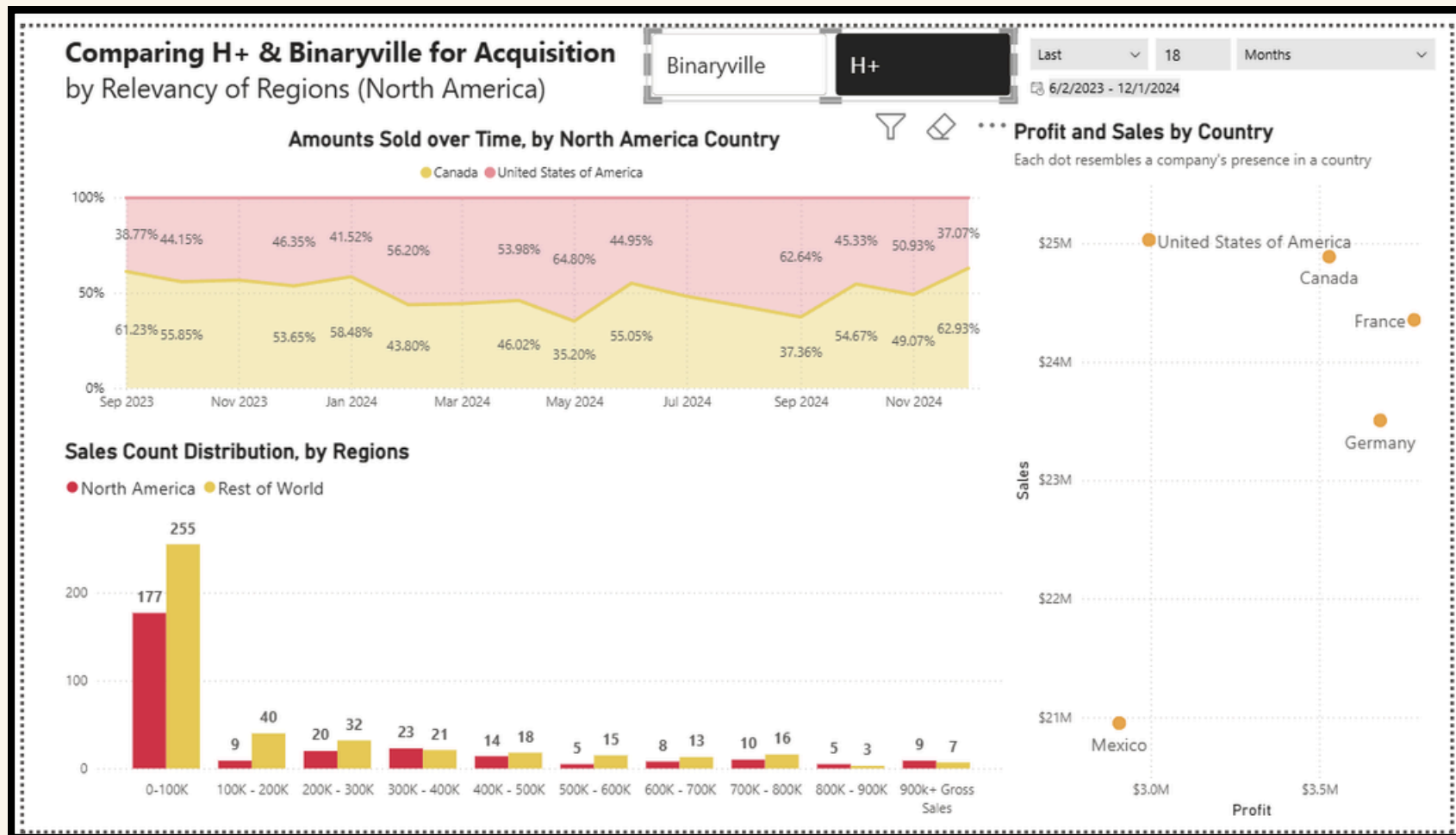
H+ Overall Profitability



Binaryville Category-level Profitability



H+ Regional Profitability



Binaryville Regional Profitability

